

Table A: Personal allowances and deductions

Year of assessment	2017/18	2018/19
Personal allowances	HK\$	HK\$
Basic	132,000	132,000
Married person's	264,000	264,000
Single parent	132,000	132,000
Child		
1 st to 9 th child (each)	100,000	120,000
Additional allowance in the year of birth (each)	100,000	120,000
Dependent parent/ grandparent (aged 60 or above or is eligible to claim an allowance under the Government's Disability Allowance Scheme)		
Basic	46,000	50,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	46,000	50,000
Dependent parent/ grandparent (aged 55 – 59)		
Basic	23,000	25,000
Additional (for dependant residing with taxpayer continuously throughout the whole year)	23,000	25,000
Dependent brother/ sister	37,500	37,500
Personal disability	-	75,000
Disabled dependant	75,000	75,000
Deductions/ Concessionary deductions	HK\$	HK\$
Self-education expenses	100,000	100,000
Home loan interest	100,000	100,000
Elderly residential care expenses	92,000	100,000
Contributions to recognised retirement schemes	18,000	18,000
Approved charitable donations	35%	35%
Depreciation allowances (For all years of assessment in this paper)		
Plant and machinery: Initial allowance ("I.A.")	60%	
Annual allowance ("A.A.")	Given in question	
Industrial building: I.A.	20%	
A.A.	4%	
Commercial building: A.A.	4%	

Table B: Tax rates

Year of assessment			
2017/18*		2018/19**	
Tax rates	%	Tax rates	%
Standard	15.0	Standard	15.0
Progressive		Progressive	
HK\$1 – HK\$45,000	2.0	HK\$1 – HK\$50,000	2.0
HK\$45,001 – HK\$90,000	7.0	HK\$50,001 – HK\$100,000	6.0
HK\$90,001 – HK\$135,000	12.0	HK\$100,001 – HK\$150,000	10.0
Above HK\$135,000	17.0	HK\$150,001 – HK\$200,000	14.0
		Above HK\$200,000	17.0
Corporation profits tax	16.5	Corporation profits tax	16.5
		Two-tiered profits tax rates	
		First HK\$2 million assessable profits	7.5
		Unincorporated businesses	8.25
		Corporations	
		Over HK\$2 million assessable profits	15.0
		Unincorporated businesses	16.5
		Corporations	

*75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$30,000 per case.

**100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$20,000 per case.

Table C: Stamp duty rates

Conveyance and Agreement for sale		
Ad Valorem Duty (marginal reliefs ignored)	Scale 1	Scale 2
Not exceeding HK\$2,000,000	1.5%	HK\$100
Not exceeding HK\$3,000,000	3%	1.5%
Not exceeding HK\$4,000,000	4.5%	2.25%
Not exceeding HK\$6,000,000	6%	3%
Not exceeding HK\$20,000,000	7.5%	3.75%
Exceeding HK\$20,000,000	8.5%	4.25%
From 5 November 2016		
For residential property	15% (unless specifically exempted or provided otherwise)	
Special Stamp Duty		
Holding period		
Not exceeding 6 months		20%
More than 6 months but 12 months or less		15%
More than 12 months but 36 months or less		10%
Buyer's Stamp Duty		15%
Lease		
Rent only:		
Not exceeding 1 year		0.25%
Not exceeding 3 years		0.5%
Exceeding 3 years		1%
Premium and rent:		
Premium part		4.25%
Rent part	same as rent only lease	
Hong Kong Stock Transfer		
Contract notes		0.2%
Instrument of transfer		HK\$5

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination. **For computational questions, show all your workings.**

Question 1 (26 marks – approximately 47 minutes)

BB Limited ("the Company") is incorporated and carries on trading of plastic products in Hong Kong. It commenced its trading business on 1 November 2017 and prepared its first set of accounts to 31 January 2019. All its trading profits are sourced in Hong Kong. Mr and Mrs Lee are the directors of the Company. In respect of the period from 1 November 2017 to 31 January 2019, the Company has the following results:

	HK\$	HK\$
Gross trading profit		12,258,000
Interest income (Note 1)		75,000
Rental income (Note 2)		150,000
		12,483,000
Less: Auditor's fees	80,000	
Directors' remuneration (Note 3)	1,200,000	
Salaries and allowances	6,500,000	
Contributions to MPF schemes (Note 4)	1,295,000	
Advertising	300,000	
Office rent (Note 5)	425,000	
Legal fees (Note 6)	29,000	
Motor vehicles expenses (Note 7)	572,000	
Donations (Note 8)	260,000	
Depreciation (Note 9)	454,000	
Sundry expenses (Note 10)	760,000	(11,875,000)
Net profit		608,000
Notes:		
(1) Interest from overseas customers on overdue accounts		60,000
Interest on loan to Mr Lee in Hong Kong		15,000
		75,000
(2) The property is situated in Macau. The Company let out the property starting from 1 November 2017 at a monthly rent of HK\$10,000.		
(3) Mr Lee		750,000
Mrs Lee		450,000
		1,200,000

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|-----|--|-----------|
| (4) | Initial contributions | 800,000 |
| | Annual contributions in respect of: | |
| | Mr Lee (20% of remuneration) | 150,000 |
| | Mrs Lee (10% of remuneration) | 45,000 |
| | Other employees (5% of remuneration) | 300,000 |
| | | 495,000 |
| | | 1,295,000 |
| | | |
| (5) | Refundable deposit | 50,000 |
| | Office rent (HK\$25,000 per month) | 375,000 |
| | | 425,000 |
| | | |
| (6) | Legal fee for preparing the first tenancy agreement for the business office | 15,000 |
| | Legal fee for recovery of trade debts | 14,000 |
| | | 29,000 |
| | | |
| (7) | Fines | 22,000 |
| | Second-hand motor car | 150,000 |
| | Gasoline | 310,000 |
| | Repairs | 90,000 |
| | | 572,000 |
| | | |
| (8) | Cash donations to approved charitable organisations. The donations were paid evenly throughout the period. | |
| | | |
| (9) | During the period, other than the second-hand motor car (A.A. – 30%) as mentioned in note 7, the Company acquired and sold the following assets: | |

Date	Particulars	Cost/Disposal proceeds HK\$	A.A. rate
<u>Acquired</u>			
1 November 2017	Furniture	300,000	20%
	Computer	250,000	30%
	Motor vehicles	350,000	30%
15 January 2018	Furniture	100,000	20%
1 July 2018	Furniture	50,000	20%
	Motor vehicles	300,000	30%
		1,350,000	
<u>Disposal</u>			
1 September 2018	Furniture (original cost: HK\$80,000)	10,000	20%

It is the Company's policy to depreciate its assets based on 20% on the cost of the assets held on 31 January each year. The amount of depreciation charged during the period is computed as follows:

$$\text{HK\$1,000,000} \times 20\% + \text{HK\$}(1,350,000 - 80,000) \times 20\% = \text{HK\$454,000}$$

(10) Included sundry expenses of HK\$20,000 spent for the property in Macau.

Other information:

(11) The Company is entitled to claim commercial building allowance of HK\$80,000 for each of the year of assessment 2017/18 and 2018/19.

Required:

(a) Compute the respective amounts of depreciation allowances for plant and machinery available to BB Limited for the years of assessment 2017/18 and 2018/19.

(6 marks)

(b) Compute BB Limited's assessable profit or loss for each of the year of assessment 2017/18 and 2018/19.

(14 marks)

(c) Explain the profits tax treatment in respect of the interest income as mentioned in Note 1 above.

(6 marks)

Question 2 (18 marks – approximately 33 minutes)

Paul is a resident of Country A. Starting from 1 April 2018, Paul was employed by EE Limited as general manager. EE Limited is incorporated and carrying on business in Hong Kong. Paul and the director of EE Limited negotiated and signed the employment contract in Country A. The employment contract is enforceable in Hong Kong. Paul's remuneration is paid directly into his bank account in Hong Kong. There is no tax treaty signed between Hong Kong and Country A.

You have been supplied with the following information regarding Paul's employment with EE Limited for the year ended 31 March 2019:

- (1) As an initiative for Paul to join the company, EE Limited gave 100,000 shares of EE Limited to Paul on 1 April 2018. The face value and the market value of the share is HK\$2 each and HK\$10 each respectively as at 1 April 2018.
- (2) Salaries: HK\$1,400,000
- (3) EE Limited arranged and spent HK\$50,000 to relocate Paul and his family from Country A to Hong Kong.
- (4) Starting from 1 April 2018, EE Limited provided a flat to Paul as his residence at a monthly rent of HK\$5,000, being directly deducted from his monthly salary. The flat is owned by EE Limited. It was estimated that the monthly market rent of the flat was HK\$40,000. The rateable value of the flat was HK\$420,000.
- (5) On 1 August 2018, Paul took a 8-day business trip to Spain followed by 12-day vacation leave there. His wife, Mary accompanied him throughout the entire trip. EE Limited paid \$100,000 (including the cost of the air-tickets at HK\$20,000 each person) to a travel agent for the entire trip of the couple. Paul spent additional expenses of HK\$18,000 during the trip.

During the year, Paul paid the following:

- | | |
|---|-------------|
| (1) Subscription to a professional association relevant to his employment | HK\$2,500 |
| (2) Cash donations to approved charitable organisations | HK\$120,000 |
| (3) Contributions to a MPF scheme in Hong Kong | HK\$18,000 |
| (4) Cash to his father who is aged 65. His father is a permanent resident of Country A and is living there. | HK\$36,000 |

Paul is married and his wife, Mary is a housewife. They have a son aged 13 and is studying in Country A.

Required:

- (a) Analyse with your reasons whether Paul's employment with EE Limited is located in Hong Kong. (5 marks)
- (b) Compute Paul's holiday journey benefit chargeable to salaries tax for the year of assessment 2018/19 as mentioned in Note 5 above. (4 marks)
- (c) Compute Paul's salaries tax payable for the year of assessment 2018/19. Ignore provisional salaries tax. (9 marks)

Question 3 (9 marks – approximately 16 minutes)

GG Limited ("the Company") is incorporated in Country B. Starting from the year of assessment 2018/19, the Company commenced its business of manufacturing of electronic products in Hong Kong. All its products were sold to customers outside Hong Kong. The sales contracts were negotiated and concluded by its sales teams situated outside Hong Kong. The Company has claimed in its tax return that all its profits are sourced outside Hong Kong.

On 1 February 2020, the Inland Revenue Department ("IRD") issued to the Company a notice of profits tax assessment for the year of assessment 2018/19 which assessed all its profits under Hong Kong profits tax. The Company received the notice on 2 February 2020.

Assume today is 10 February 2020, the Company's directors approach you for tax advice.

Required:

- (a) Explain the principles adopted by the IRD in determining the source of manufacturing profits as mentioned in DIPN 21. (3 marks)
- (b) Explain to GG Limited the requirements of a valid objection against the 2018/19 profits tax assessment, and identify the deadline if GG Limited wants to lodge the objection. (6 marks)

Question 4 (9 marks – approximately 16 minutes)

East Limited is a company providing consultancy services in Hong Kong. On 1 October 2014, it purchased a commercial unit ("the Unit") as its office from the developer for HK\$3,000,000 and it is agreed that 50% of the price was related to the cost of construction. East Limited used the Unit immediately after purchase.

On 1 February 2018, East Limited sold the Unit to West Limited for HK\$2,800,000 (50% related to the building). After incurring a decoration expenditure of HK\$500,000, West occupied the Unit as its office on 28 February 2018.

East Limited and West Limited prepare its accounts to 31 December and 31 March each year respectively.

Required:

- (a) Compute the amount of the balancing adjustment under commercial building allowance available to East Limited in respect of the Unit. You are required to specify the year of assessment where the balancing adjustment is to be made. (3 marks)
- (b) Compute the amount of commercial building allowance available to West Limited in respect of the above Unit for the year of assessment 2017/18. (6 marks)

Question 5 (9 marks – approximately 16 minutes)

John is an ordinary resident of Hong Kong. He owns a residential property ("Property A") in Hong Kong and it was let to James under the following terms:

- (1) Lease period: 1 April 2018 – 31 March 2021 (3 years)
- (2) Monthly rent: HK\$15,000 payable at the beginning of each month
- (3) Premium: HK\$30,000 payable on 1 April 2018
- (4) Rates and management fee: Payable by John

You have also been supplied with the following income and expenses in respect of John for the year of assessment 2018/19:

Income:

- (1) Employment income from a Hong Kong company: HK\$840,000
- (2) Assessable profits of HK\$390,000 from his sole-proprietorship business in Hong Kong. Details of the assessment are as follows:

	HK\$
Profit per account	200,000
Add: Donations*	400,000
	600,000
Less: Approved charitable donations (35%)	(210,000)
Assessable profits	390,000

*Donations are cash donations to approved charitable organisations.

- (3) Share of loss from a partnership business in Hong Kong: (HK\$200,000)

Expenses:

	HK\$
(1) Mortgage loan interest in respect of Property A	30,000
(2) Rates of Property A	1,200
(3) Management fee of Property A	12,000
(4) Home loan interest	80,000
(5) Mandatory contributions to MPF scheme	18,000

Other information:

John is single and he elected for personal assessment for the year of assessment 2018/19.

Required:

- (a) Compute the net assessable value of John's Property A under property tax for the year of assessment 2018/19. (3 marks)
- (b) Compute John's reduced total income under personal assessment for the year of assessment 2018/19. (6 marks)

Question 6 (9 marks – approximately 16 minutes)

Red Limited owns 75% of the issued shares in Blue Limited, which in turns owns 95% of the issued shares in Yellow Limited. Red Limited, Blue Limited and Yellow Limited are all incorporated in Hong Kong. In July 2016, Red Limited borrowed HK\$8 million from Blue Limited. As Red Limited is unable to repay the loan, it conveyed to Blue Limited its office property in the settlement of the loan on 10 July 2018. The office property is a non-residential property and Red Limited purchased it on 1 February 2016. The market value of the office property on 10 July 2018 is HK\$7 million. As such, Blue Limited waived the balance of the outstanding loan of HK\$1 million.

On 1 August 2018, Blue Limited leased the office property to Yellow Limited at a fair market rent of HK\$40,000 per month for a term of 4 years. Blue Limited and Yellow Limited executed the lease agreement on 31 July 2018.

Required:

Analyse, with reference to the relevant provisions under the Stamp Duty Ordinance,

- (a) whether ad valorem duty, special stamp duty and buyer's stamp duty are payable on the conveyance of the office property; and (6 marks)
- (b) whether ad valorem duty is payable on the lease agreement. (3 marks)

If so, compute the respective amounts payable.

* * * END OF EXAMINATION PAPER * * *